Grand Slams

Finding ugly ducklings that turn into swans, like Newell, and that bring you five or ten or more times your money is a very good idea indeed. When people ask me how we've managed to get our results, I tell them that it's not by avoiding disasters, because I have had my share of them. That's understood with small-cap investing. But if you manage to own some stocks that go up ten times, that pays for a lot of the disasters, with profits left over.

Newell hasn't been Acorn's only big winner. Harley-Davidson, Hillenbrand, IMS International, and a few others have turned into ten-baggers. But three blockbusters did even better. They superbly illustrate that someone who is careful about price can still win the biggest trophies.

HOUSTON OIL & MINERALS

The first one, which kept the fund alive at a critical juncture, came into the fund in 1973. A friend in New York, Perry Swenson, who worked at a small brokerage firm named Wood Walker (now Legg Mason Wood Walker Inc.), told me to go to the Union League Club and listen to a talk by the president of Houston Oil & Minerals, a tiny gas exploration company in Texas. The market was dreary at the time, the meeting was in the afternoon, and most people, after two scotches, fell asleep. But I listened and liked what I heard: Houston Oil had just found a very large gas field in Galveston Bay that could transform the company.

I took a large position in the stock, starting in the second quarter of 1973, and in the third quarter it moved from $28 to $67, then split two for one. Wall Street finally caught on that the Galveston Bay discovery would soon result in an enormous increase in earnings. I held on to Houston for years. By the middle of 1977, a stock that cost $220,000 was worth, after numerous splits, $5.3 million.